

November 2025 Board Report for Business Services

(Fiscal Data as of September 2026 and 2025)

Presented by:
Kim Bittrich, Director of Business Services

Arizona State Schools for the Deaf and the Blind
November 2025 Board Report for Business Services

Informational Item(s)

This report covers the financial status at the end of the first quarter for fiscal year 2025-2026. We are responding to questions on the budget that was submitted to the state on September 2, 2025.

Student Count

As of October 1, 2025, and October 1, 2024, ASDB had 1,815 and 1,952 students, respectively. The students either attended one of our two campus schools in the K-12 programs, participated in our birth to age three or preschool programs, or received ASDB services at their local schools from which cooperative programs are operated.

Arizona State Schools for the Deaf and the Blind
As of October 1, 2025 (SY2025-26) and October 1, 2024 (SY2024-25)

	Student Count by Type of Disability																	
	Hearing Impaired		Visually Impaired		Multiple Disabilities		Multiple Disabilities with Severe Sensory Impairment		Other with Sensory Impairment		Hearing Impaired & Multiple Disabilities		Visually Impaired & Multiple Disabilities		Deaf-Blindness		Total Students	
	SY25-26	SY24-25	SY25-26	SY24-25	SY25-26	SY24-25	SY25-26	SY24-25	SY25-26	SY24-25	SY25-26	SY24-25	SY25-26	SY24-25	SY25-26	SY24-25	SY25-26	SY24-25
Schools (K-12)																		
Tucson Campus	50	62	11	15	15	15	29	30	10	4	-	-	-	-	-	-	115	126
Residential	*11*	*18*	*2*	*3*	*3*	*2*	*1*	-	-	-	-	-	-	-	-	-	*17*	*23*
Phoenix Day School for the Deaf	103	131	-	-	35	19	51	43	4	11	-	-	-	-	-	-	193	204
Subtotal	**153**	**193**	**11**	**15**	**50**	**34**	**80**	**73**	**14**	**15**	**-**	**-**	**-**	**-**	**-**	**-**	**308**	**330**
Regional Cooperatives (K-12) - Voucher																		
Region I (EHR, NCR, SWR)	64	32	22	23	34	-	-	2	11	-	-	-	-	-	-	-	131	57
Region II (DVR)	135	147	44	46	48	15	-	3	74	10	-	-	-	-	-	-	301	221
Region III (SER)	131	93	32	22	80	7	-	4	53	3	-	-	-	-	-	-	296	129
Distance Itinerant Service Program	2	15	1	3	2	4	-	-	-	2	-	-	-	-	-	-	5	24
Subtotal	**332**	**287**	**99**	**94**	**164**	**26**	**-**	**9**	**138**	**15**	**-**	**-**	**-**	**-**	**-**	**-**	**733**	**431**
Regional Cooperatives (K-12) - FFS																		
Region I (EHR, NCR, SWR)	1	8	1	1	-	29	32	30	-	4	-	-	-	-	-	-	34	72
Region II (DVR)	-	39	1	7	-	49	73	76	1	53	-	-	-	-	-	-	75	224
Region III (SER)	-	39	-	6	-	73	50	51	-	38	-	-	-	-	-	-	50	207
Distance Itinerant Service Program	-	12	-	-	-	8	3	4	-	1	-	-	-	-	-	-	3	25
Subtotal	**1**	**98**	**2**	**14**	**-**	**159**	**158**	**161**	**1**	**96**	**-**	**-**	**-**	**-**	**-**	**-**	**162**	**528**
Preschool (Ages 3 - 5)																		
Early Learning - Tucson Campus	14	17		-		-		-	3	2	-	-	-	-	-	-	17	19
Early Learning - Phoenix Day School for the Deaf	17	17		-		-		-	4	2	-	-	-	-	-	-	21	19
Early Learning - Satellite 1	3	3		-		-		-	-	-	-	-	-	-	-	-	3	3
Early Learning - Foundation for Blind Children		-	33	31		-		-		-	-	-	-	-	-	-	33	31
Region I (EHR, NCR, SWR)	10	9	1	4		-		-	1	1	-	-	-	-	-	-	12	14
Region II (DVR)	-	-		-	-	-		-	-	-	-	-	-	-	-	-	-	-
Region III (SER)	5	4		-		-		-	2	2	-	-	-	-	-	-	7	6
Distance Itinerant Service Program		-		-		-		-		-	-	-	-	-	-	-	-	-
Subtotal	**49**	**50**	**34**	**35**	**-**	**-**	**-**	**-**	**10**	**7**	**-**	**-**	**-**	**-**	**-**	**-**	**93**	**92**
Region I - B3	27		17								-		12		2		58	-
Region II - B3	176		103								13		7		18		317	-
Region III - B3	80		31								4		15		14		144	-
Birth to Age 3	**283**	**275**	**151**	**174**	**-**	**-**	**-**	**-**	**-**	**-**	**17**	**25**	**34**	**63**	**34**	**34**	**519**	**571**
Total	**817**	**805**	**295**	**318**	**214**	**60**	**80**	**82**	**162**	**37**	**17**	**25**	**34**	**63**	**34**	**34**	**1815**	**1952**

	Student Count by Revenue Source					
	Voucher Students		Fee-for-Service Students		Total Students	
	SY25-26	SY24-25	SY25-26	SY24-25	SY25-26	SY24-25
Schools (K-12)						
Tucson Campus - ASD	79	86	-	-	79	86
Residential - ASD	*13*	*18*	-	-	13	*18*
Tucson Campus - ASB	36	40			36	40
Residential - ASB	*4*	*5*			4	*5*
Phoenix Day School for the Deaf	193	204	-	-	193	204
Subtotal	**308**	**330**	**-**	**-**	**308**	**330**
Regional Cooperatives (K-12)						
Region I (EHR, NCR, SWR)	131	57	34	72	165	129
Region II (DVR)	301	221	75	224	376	445
Region III (SER)	296	129	50	207	346	336
Distance Itinerant Service Program	5	24	3	25	8	49
Subtotal	**733**	**431**	**162**	**528**	**895**	**959**
Preschool						
Early Learning - Tucson Campus	17	19		-	17	19
Early Learning - Phoenix Day School for the Deaf	21	19		-	21	19
Early Learning - Satellite 1	3	3		-	3	3
Early Learning - Foundation for Blind Children	33	31		-	33	31
Region I (EHR, NCR, SWR)	11	14	1	-	12	14
Region II (DVR)					-	-
Region III (SER)	7	6			7	6
Distance Itinerant Service Program		-		-	-	-
Subtotal	**92**	**92**	**1**	**-**	**93**	**92**
Birth to Age 3	-	-	**519**	**571**	**519**	**571**
Total	**1133**	**853**	**682**	**1099**	**1815**	**1952**

Staff (562.2 FTEs included in the FY2026 approved appropriated funds budget)

ASDB has staff at its two school campuses and at its three regional cooperatives that are located in various parts of the State. As of October 1, 2025, there were 585.07 full-time equivalents (FTEs) and 659 people employed to implement its agency responsibilities. The new payroll system calculates FTE differently than the old payroll system. This change has increased our calculated FTE by more than 100 FTE overall.

There are currently 66 vacancies actively being recruited, which include 16 teachers; 11 instructional assistants; 2 interpreters; 7 drivers; and 30 various other positions. Positions are still being justified and reviewed prior to posting.

	School Year 2025-26 (as of 10/1/2025)								
			Filled Full-Time Equivalents (FTEs)						
Program	Student Count *	Student / Teacher Ratio	Teachers	Sub Teachers	Supervising Teachers	Certified Support Staff	Administrators	Other Classified Staff	Total
Phoenix Day School for the Deaf	193	6.60	29.25	2.00	1.00	11.00	2.00	56.00	101.25
Tucson Campus	115	3.51	32.75	0.25		9.00	3.00	100.75	145.75
Regional Cooperatives	895	12.39	72.25		7.00	11.00	2.00	50.50	142.75
Preschool **	93	4.89	19.00	0.50		3.00	1.00	9.25	32.75
Birth-to-3 **	519	18.21	28.50		3.00	2.00	1.00		34.50
Administration / Statewide						3.00	14.00	111.07	128.07
	1815		181.75	2.75	11.00	39.00	23.00	327.57	585.07
			31%	0%	2%	7%	4%	56%	100%
** Student Count as of October 1, 2025*									
*** Includes Foundation for Blind Children contracted teachers of 8.5 FTEs (7.0 for Preschool and 1.5 for Birth-to-3)*									
**** June 2025 the state changed payroll to AZ360 and changed how FTE's were calculated. 10 month staff who were .71 ane now 1 FTE.*									

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Financial Summary

ASDB continues to maintain financial and operational transparency, provide timely financial updates to stakeholders and communicate progress on new initiatives while investing in strategic priorities. Efforts to implement operational efficiencies and ongoing cost-savings initiatives continue.

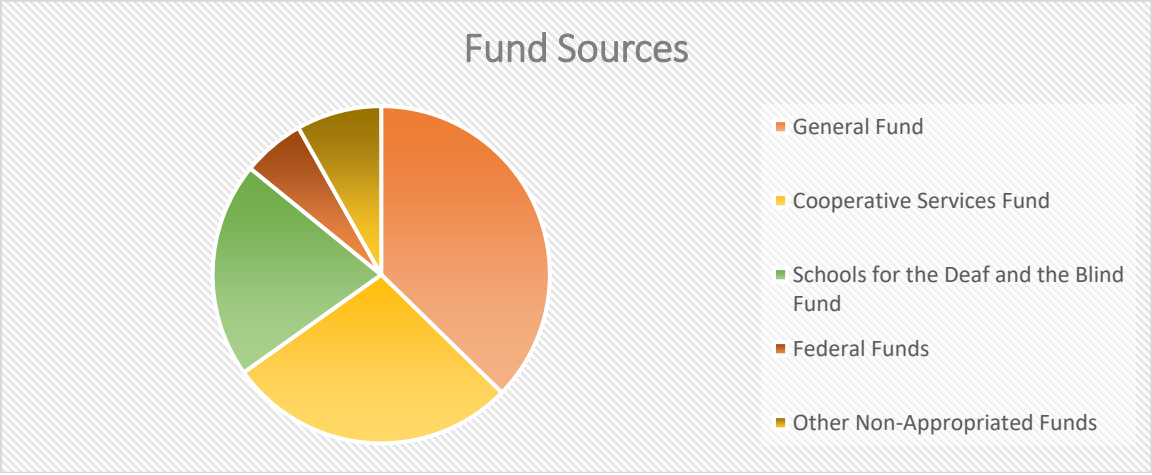
The financial information as presented has been extracted from the State's official accounting system Arizona Financial Information System (AZ360 formerly AFIS).

BFY2026 Budget Overview

Budgetary control is maintained through Legislative appropriation and the Executive branch allotment process. The Governor is required to submit an annual budget to the Legislature. The budget is legally required to be adopted through the passage of appropriation bills by the Legislature and approved by the Governor. The appropriated funds are controlled by the Executive branch through an allotment process. This process generally allocates the appropriation into quarterly allotments by legal appropriation level. The State also maintains an encumbrance accounting system to further enhance budgetary control. Encumbered amounts generally lapse as of the end of the fiscal year, with the exception of capital outlay and other continuing appropriations that continue from year to year.

Key messages about the accompanying budgetary statements for the months ended September 30, 2025 and 2024 are provided on the succeeding pages noting that September represents three months (25%) of the fiscal year. *Note: Budget fiscal year (BFY) data relates to transactions for the period of which the revenue was earned, or expenditure was incurred. Fiscal year (FY) data includes accrued transactions (i.e., revenue was earned in a prior budget year but not yet received until the next year or expense was incurred in a prior budget year but not yet paid until the next year).*

- ASDB's FY2026 approved appropriations budget totaled $68.6 million. Of that total, $58.9 million or 86% are monies allocated by legislation to ASDB consisting of the General Fund of $25.6 million, the Cooperative Services Fund of $19.1 million and the Schools for the Deaf and the Blind Fund of $14.2 million. Other sources are included in the budget totaling $9.7 million or 14% comprised of other non-appropriated funds (revenue generating) of $5.6 million and federal funds of $4.1 million.
- Based on recent projections of revenues, the internal budget was revised to $68.4 million less $5.6 million in voucher reimbursements to the districts.

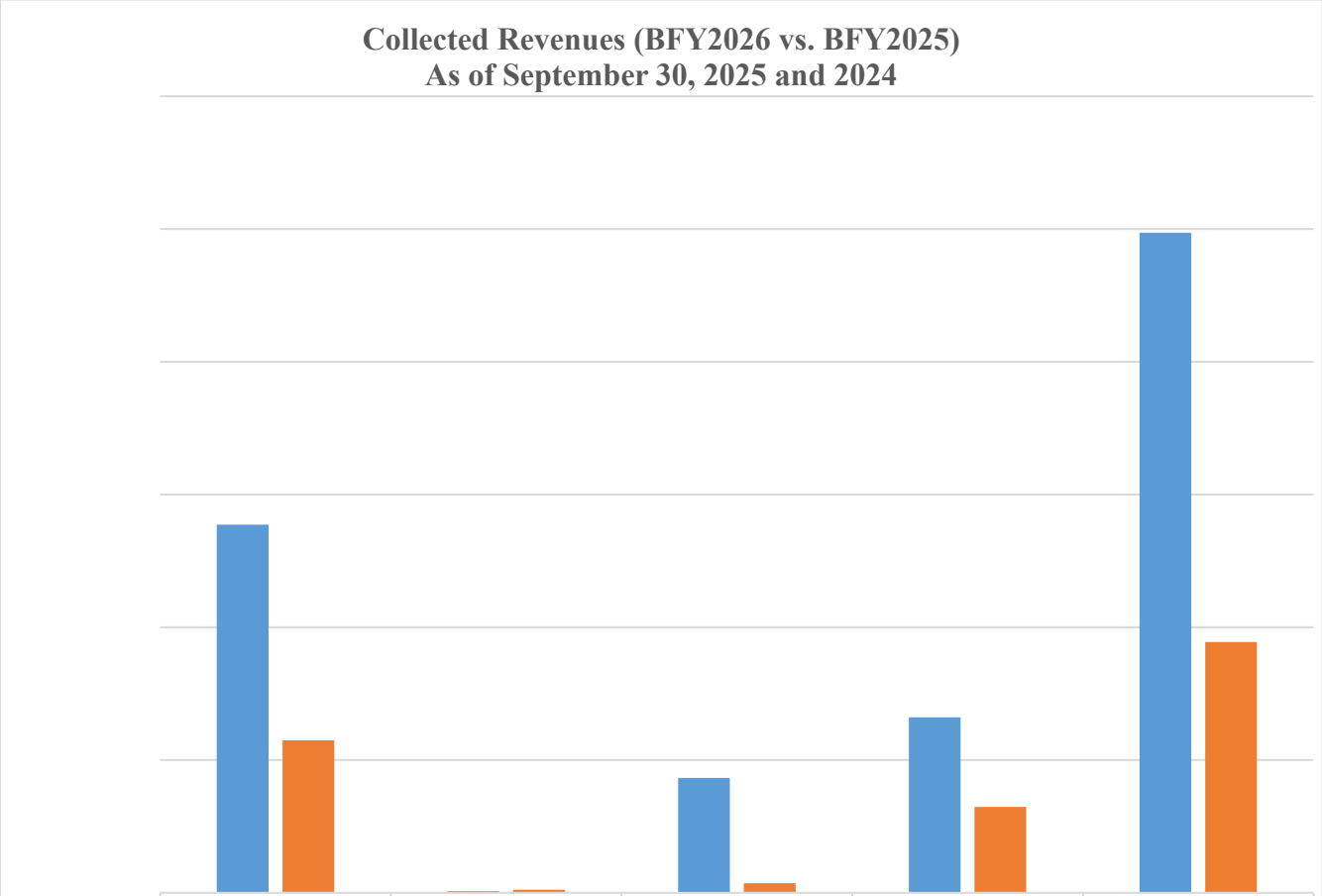


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Current Year vs. Prior Year Data

Collected Revenues: (ASDB revenues are primarily supported by the State's appropriations and collected voucher and fee for service revenues).

BFY2026 collected revenues of $2.5 million were $1.5 million or 62% higher compared to BFY2025 of $944,647 primarily from the increase in institutional voucher revenue of $1.4 million, federal grants of $431,901 and classroom site fund of $336,028. The increase in classroom site fund revenue is mostly due to an increase per pupil amount to $842 from $792 in BFY2025.



	Vouchers	Fee for Services and Membership Fees	Federal & State and Private Grants	Other Operating	Total
BFY2026	$1,386,519	$6,135	$432,745	$660,628	$2,486,028
BFY2025	$574,346	$11,500	$35,752	$323,049	$944,647

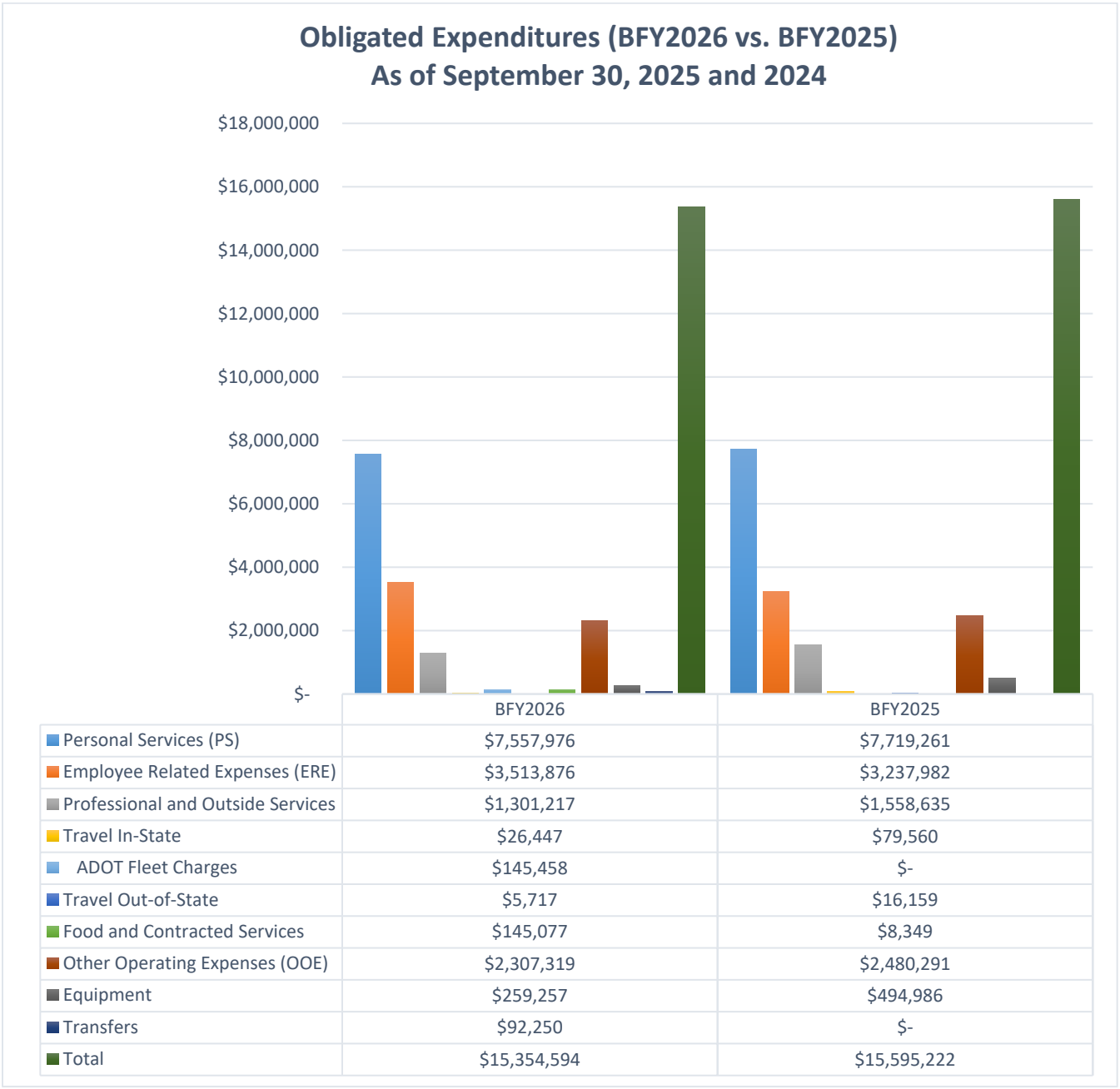
Obligated Expenditures: (The majority of expenditures are in the area of payroll compensation, historically at about 80% of total agency expenditures, other operating expenses amounting to 10%, and professional and outside services amounting to 6%).

22.2% (or $15.4 million) of the BFY2026 $69.0 million revised budget was obligated as of September 30, 2025 and 22.2% (or $15.6 million) of the BFY2025 $70.2 million revised budget as of September 30, 2024 was obligated, a decrease of $240,628 or 1.5%.

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The BFY2026 obligated expenditure decrease of $240,628 is mostly due to a decrease in salary and professional and outside services offset by an increase in employer related expenses (ERE).

- Salaries have decreased $161,285 while employer related expenses (ERE) have increased by $275,894. The employer cost of health insurance increased by 14% in calendar year 2025 over calendar year 2024.
- Professional and outside services have decreased $257,418 mostly due to a reduction in contracted transportation costs.
- ADOT fleet charges were moved from Other Operating Expenses to under Travel where fleet motor pool charges are tracked. This eliminates duplicate reporting on statewide financial reports.



	BFY2026	BFY2025
Personal Services (PS)	$7,557,976	$7,719,261
Employee Related Expenses (ERE)	$3,513,876	$3,237,982
Professional and Outside Services	$1,301,217	$1,558,635
Travel In-State	$26,447	$79,560
ADOT Fleet Charges	$145,458	$-
Travel Out-of-State	$5,717	$16,159
Food and Contracted Services	$145,077	$8,349
Other Operating Expenses (OOE)	$2,307,319	$2,480,291
Equipment	$259,257	$494,986
Transfers	$92,250	$-
Total	$15,354,594	$15,595,222

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Budget to Actual Expenditures by Object Class

	BFY2026 - as of September 30, 2025					BFY2025 - as of September 30, 2024				
Object Class	Original Budget	Actual Expenditures	Encumbrances	Total Obligations	Budget Balance	Original Budget	Actual Expenditures	Encumbrances	Total Obligations	Budget Balance
Personal Services (PS)	35,468,689	7,557,976	-	7,557,976	27,910,713	36,497,591	7,719,261	-	7,719,261	28,778,330
Employee Related Expenses (ERE)	15,878,818	3,513,876	-	3,513,876	12,364,942	13,816,474	3,237,982	-	3,237,982	10,578,492
Professional and Outside Services	5,717,187	546,297	754,920	1,301,217	4,415,970	8,005,109	580,382	978,253	1,558,635	6,446,474
Travel In-State	320,473	26,447	-	26,447	294,026	379,557	79,560	-	79,560	299,997
ADOT Fleet charges	*2,523,165*	*145,458*		*145,458*	*2,377,707*	-	-	-	-	*639,084*
Travel Out of State	104,290	5,230	487	5,717	98,573	172,413	16,159	-	16,159	156,254
Food and Contracted Services	566,858	5,400	139,677	145,077	421,781	508,208	5,849	2,500	8,349	499,859
Aid to Organization and Individuals	-	-	-	-	-	-	-	-	-	-
Other Operating Expenses (OOE)	7,350,873	1,670,137	637,182	2,307,319	5,043,554	9,747,491	1,654,234	826,057	2,480,291	6,628,116
Equipment	730,247	61,780	197,477	259,257	470,990	1,046,890	439,790	55,196	494,986	551,904
Capital Outlay	-	-	-	-	-	-	-	-	-	-
Transfers Out	369,000	92,250	-	92,250	276,750	-	-	-	-	-
	69,029,600	**13,624,851**	**1,729,743**	**15,354,594**	**53,675,006**	**70,173,733**	**13,733,217**	**1,862,005**	**15,595,222**	**54,578,511**

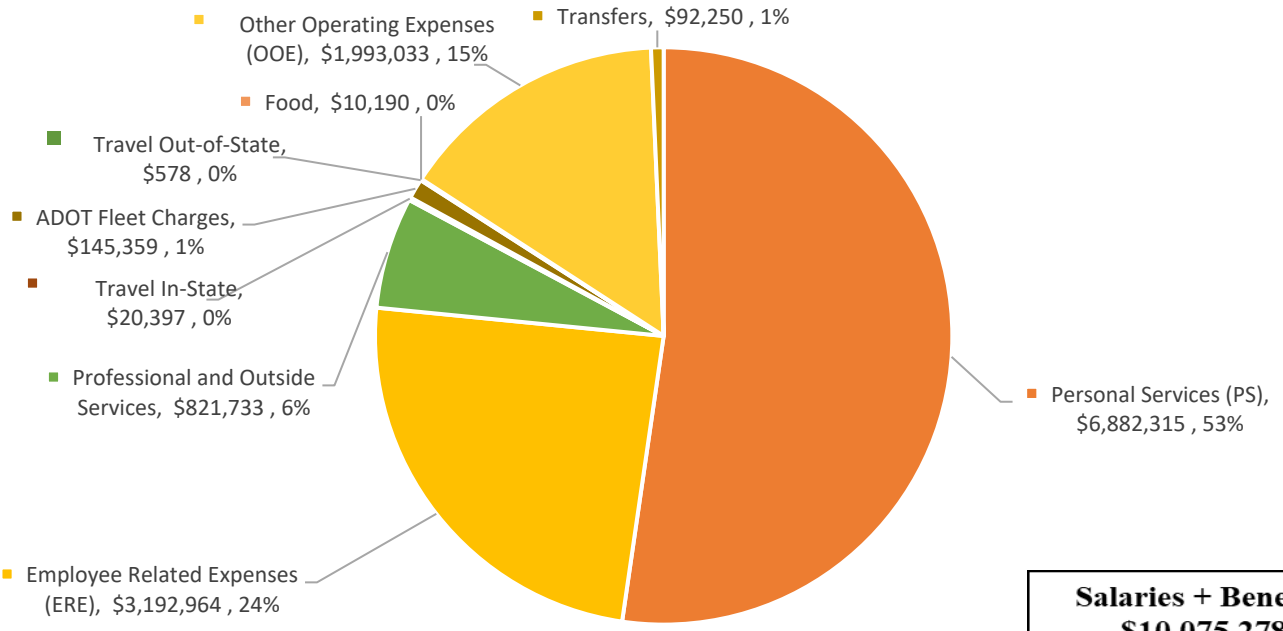
Budget to Actual Expenditures by Fund

	BFY2026 - as of September 30, 2025					BFY2025 - as of September 30, 2024				
Fund	Original Budget	Actual Expenditures	Encumbrances	Total Obligations	Budget Balance	Original Budget	Actual Expenditures	Encumbrances	Total Obligations	Budget Balance
General	25,645,100	5,083,146	571,524	5,654,671	19,990,429	25,291,300	5,766,003	815,991	6,581,994	18,709,306
Schools for the Deaf and the Blind (SDB)	14,156,500	2,801,594	302,872	3,104,466	11,052,034	14,878,500	2,654,980	412,459	3,067,439	11,811,061
Regional Cooperatives	19,103,000	4,442,921	51,674	4,494,595	14,608,405	20,092,400	3,611,724	132,841	3,744,565	16,347,835
Telecommunication Fund for the Deaf	-	-	-	-	-	168,000	-	-	-	168,000
Appropriated Funds	*58,904,600*	*12,327,662*	*926,070*	*13,253,732*	*45,650,868*	*60,430,200*	*12,032,707*	*1,361,291*	*13,393,998*	*47,036,202*
Federal Grants	4,580,974	432,947	469,751	902,697	3,678,277	4,097,314	750,296	290,467	1,040,764	3,056,550
State and Private Grants	386,458	43,561	188,076	231,637	154,821	344,190	149,341	71,359	220,700	123,490
ARPA			-	-	-	-	-	-	-	-
Classroom Site	4,761,591	781,667	107,644	889,310	3,872,281	4,930,952	766,326	109,035	875,362	4,055,590
Trust	140,254	3,416	487	3,903	136,351	176,664	7,402	541	7,943	168,721
Enterprise	255,723	35,600	37,715	73,315	182,408	194,413	27,144	29,311	56,455	137,958
Non-Appropriated Funds	*10,125,000*	*1,297,190*	*803,673*	*2,100,862*	*8,024,138*	*9,743,533*	*1,700,510*	*500,714*	*2,201,224*	*7,542,309*
Total - All Sources	**69,029,600**	**13,624,851**	**1,729,743**	**15,354,594**	**53,675,006**	**70,173,733**	**13,733,217**	**1,862,005**	**15,595,222**	**54,578,511**

Budget to Actual Expenditures by Program

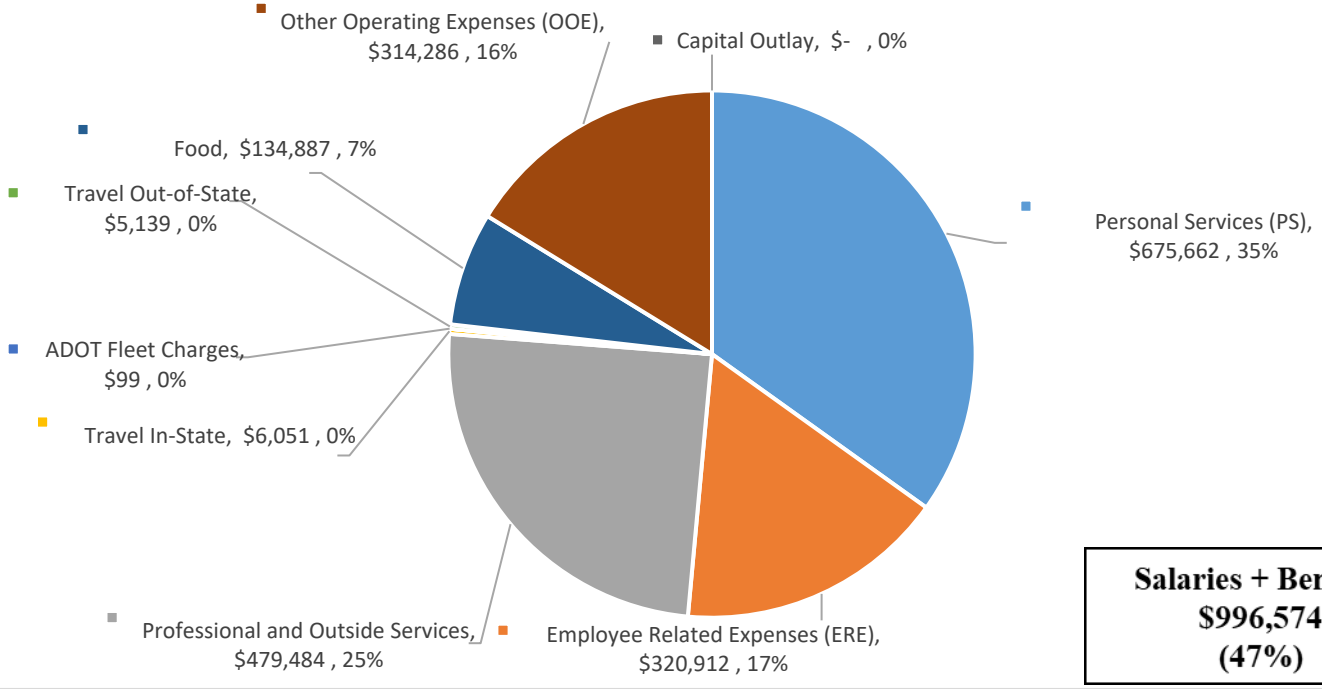
	BFY2026 - as of September 30, 2025					BFY2025 - as of September 30, 2024				
Program	Original Budget	Actual Expenditures	Encumbrances	Total Obligations	Budget Balance	Original Budget	Actual Expenditures	Encumbrances	Total Obligations	Budget Balance
Phoenix Day School for the Deaf	14,764,406	2,577,873	513,584	3,091,456	11,672,950	14,942,990	2,675,088	738,270	3,413,358	11,529,632
Tucson Campus	16,421,088	3,062,266	601,202	3,663,468	12,757,620	15,394,284	3,120,048	443,115	3,563,163	11,831,121
Regional Cooperatives	16,864,225	4,064,631	38,779	4,103,410	12,760,815	20,835,078	3,569,884	136,341	3,706,225	17,128,853
Preschool / Outreach (Early Learning)	9,562,835	1,730,676	290,171	2,020,848	7,541,987	9,305,960	1,556,350	215,387	1,771,736	7,534,224
Administration/Statewide	11,417,046	2,189,405	286,007	2,475,412	8,941,634	9,695,421	2,811,848	328,891	3,140,739	6,554,682
	69,029,600	**13,624,851**	**1,729,743**	**15,354,594**	**53,675,006**	**70,173,733**	**13,733,217**	**1,862,005**	**15,595,222**	**54,578,511**

September2025 (BFY2026)
Total Original Budget (Appropriated Funds): $58,627,183
Appropriated Funds Obligated Expenditures: $13,253,732

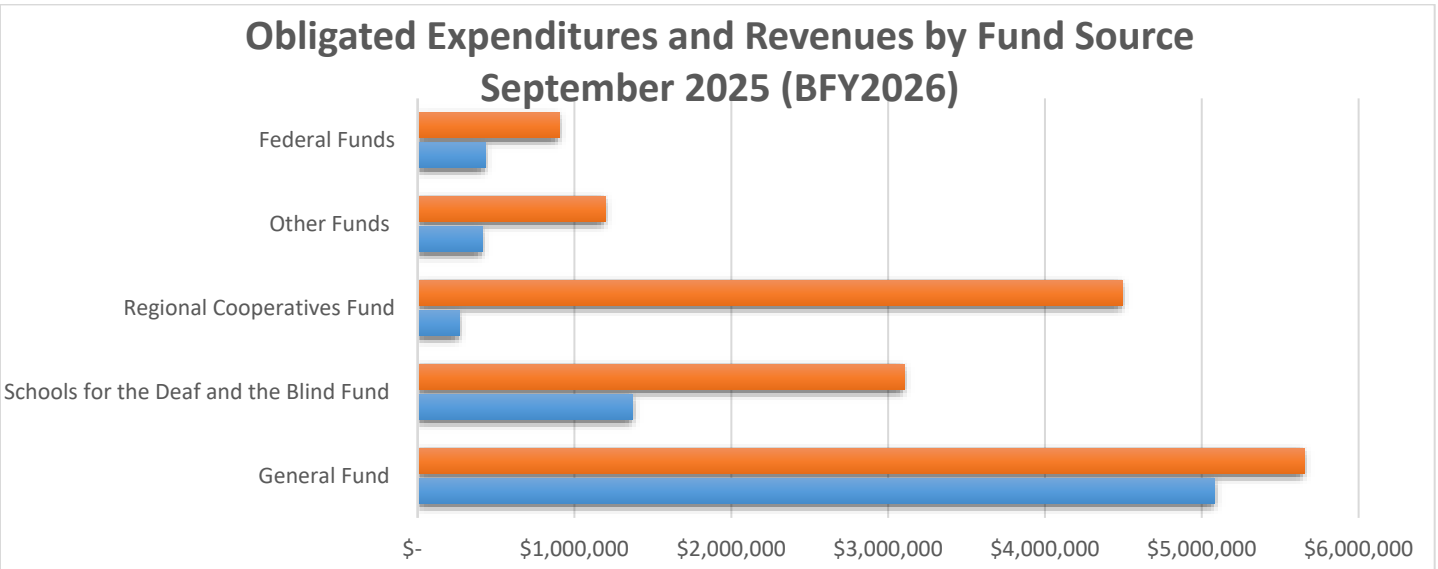


Salaries + Benefits
$10,075,278
(76%)

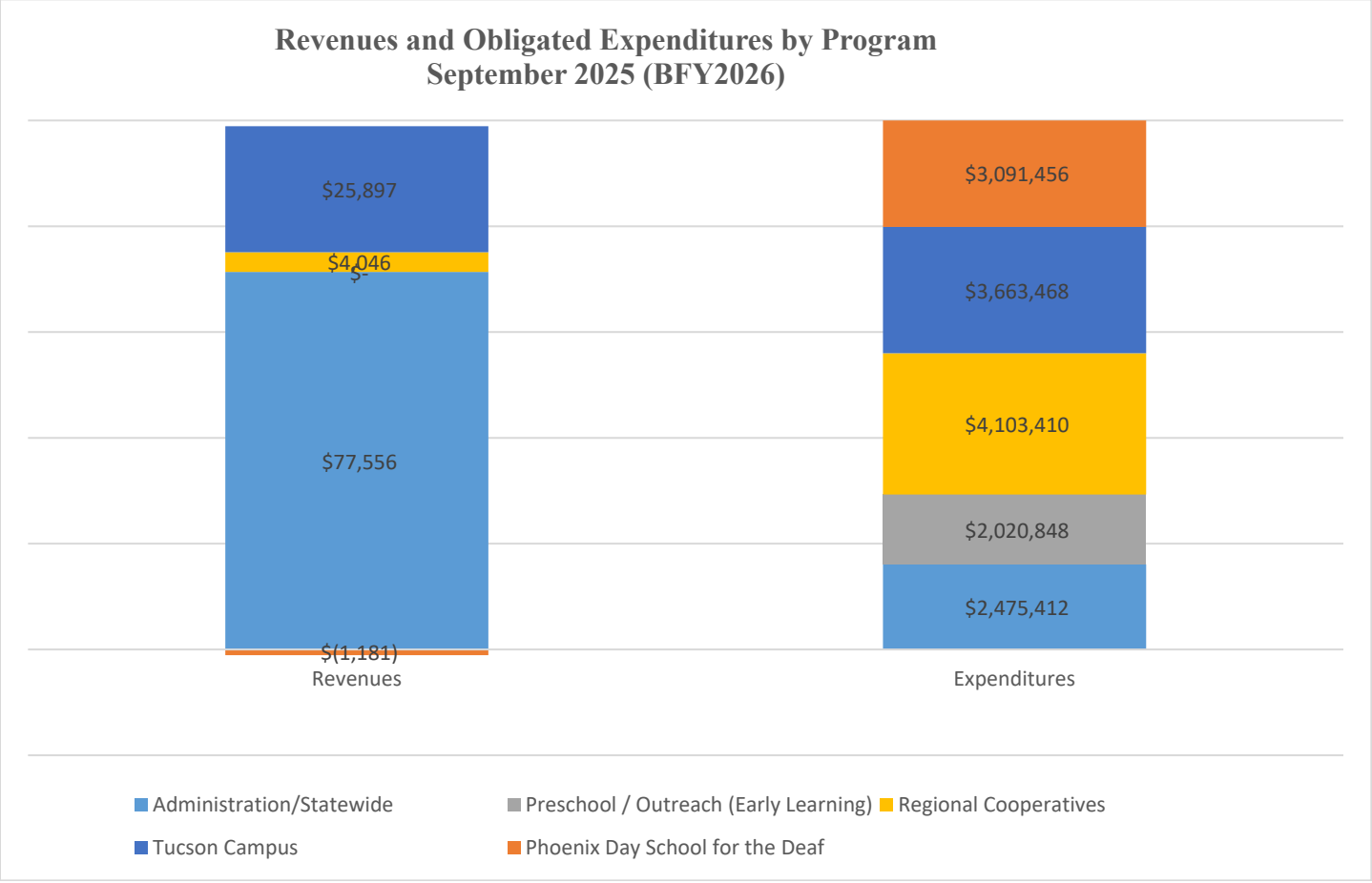
September2025 (BFY2026)
Total Original Budget (Non-Appropriated Funds): $10,515,249
Non-Appropriated Funds Obligated Expenditures: $2,100,862



Salaries + Benefits
$996,574
(47%)



	General Fund	Schools for the Deaf and the Blind Fund	Regional Cooperatives Fund	Other Funds	Federal Funds
Expenditures	$5,654,671	$3,104,466	$4,494,595	$1,198,165	$902,697
Revenues	$5,083,969	$1,372,179	$265,957	$415,167	$431,901



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BFY2026 Budget Status Report - All Sources
As of September 30, 2025 and 2024

	BFY2026 Original Budget	BFY2026 MTD Actuals	BFY2026 YTD Encumbrances	BFY2026 YTD Budget Balances	YTD Percent of Budget	*BFY2025 Budget*	*BFY2025 MTD Actuals*	*BFY2025 YTD Actuals*
Revenues:								
General Fund Appropriation	$ 25,645,100	$ 5,083,146		$ (20,561,954)	19.8%	*$ 25,291,300*	*$ 5,766,003*	*$ 25,085,062*
Institutional Vouchers	32,093,163	1,386,519		(30,706,644)	4.3%	*29,276,403*	*574,346*	*31,280,509*
Voucher Reimbursements	*(5,556,000)*	-		*5,556,000*	0.0%	-	-	*(518,400)*
Federal Grants	2,736,525	431,901		(2,304,624)	15.8%	*3,234,576*	*29,954*	*1,739,306*
Medicaid	1,774,857	-		(1,774,857)	0.0%	*800,000*	*4,832*	*567,824*
State and Private Grants	94,401	(4)		(94,405)	0.0%	*66,874*	*5,798*	*362,164*
Gifts and Donations	1,165	(999)		(2,164)	-85.7%	*4,625*	-	*4,805*
E-Rate	80,000	32,875		(47,125)	41.1%	*80,000*	-	*49,486*
Land Endowment	402,183	245,482		(156,701)	61.0%	*788,290*	*163,765*	*774,114*
Proposition 301-Classroom Site Fund	4,151,553	336,028		(3,815,525)	8.1%	*3,630,647*	*114,850*	*3,905,023*
Trust Funds	170,000	-		(170,000)	0.0%	*190,000*	-	*175,000*
Fee for Services	784,804	4,485		(780,319)	0.6%	*2,837,683*	-	*1,924,492*
Membership Fees	136,000	1,650		(134,350)	1.2%	*136,175*	*11,500*	*125,650*
Rental Income	256,640	43,419		(213,221)	16.9%	*215,854*	*39,602*	*250,633*
Other Sources	-	4,670		4,670	0.0%	-	-	*23,783*
Total Revenues	$ 62,770,391	$ 7,569,174		$ (55,201,217)	12.1%	*$ 66,552,427*	*$ 6,710,650*	*$ 65,749,452*
Expenditures by Object:								
Personal Services (PS)	$ 35,468,689	$ 7,557,976	-	$ 27,910,713	21.3%	*$ 36,497,591*	*$ 7,719,261*	*$ 37,879,625*
Employee Related Expenses (ERE)	15,878,818	3,513,876	-	12,364,942	22.1%	*13,816,474*	*3,237,982*	*15,240,837*
Professional and Outside Services	5,717,187	546,297	754,920	4,415,970	22.8%	*8,005,109*	*580,382*	*5,590,270*
Travel In-State	320,473	26,447	-	294,026	8.3%	*379,557*	*79,560*	*245,812*
ADOT Fleet charges	*2,523,165*	*145,458*	-	*2,377,707*	5.8%	*639,084*	-	*1,864,888*
Travel Out-of-State	104,290	5,230	487	98,573	5.5%	*172,413*	*16,159*	*94,986*
Food and Contracted Services	566,858	5,400	139,677	421,781	25.6%	*508,208*	*5,849*	*554,857*
Other Operating Expenses (OOE)	7,350,873	1,670,137	637,182	5,043,554	31.4%	*9,108,407*	*1,654,234*	*6,407,299*
Rent	*487,429*	*116,035*	*8,475*	-	0.0%	610,042	128,425	487,429
Utilities	*2,178,310*	*464,402*	*131,845*	-	0.0%	2,242,024	473,149	2,178,310
Repair & Maintenance	*2,685,279*	*404,695*	*416,386*	-	0.0%	5,273,384	825,368	2,868,241
Equipment	730,247	61,780	197,477	470,990	35.5%	*1,046,890*	*439,790*	*764,693*
Capital Outlay	-	-	-	-	0.0%	-	-	-
Transfers Out	369,000	92,250	-	276,750	25.0%	-	-	*87,577*
Total Expenditures by Object	$ 69,029,600	$ 13,624,851	$ 1,729,743	$ 53,675,006	22.2%	*$ 70,173,733*	*$ 13,733,217*	*$ 68,730,844*
				Percent Expected to Expend	25.0%			
Excess Resources Over/ (Under)								
Expenditures and Other Sources/Uses	$ (6,259,209)	$ (6,055,677)				*$ (3,621,306)*	*$ (7,022,567)*	*$ (2,981,393)*

Fiscal Year Data from the Year End Basic Financial Statements – September 30, 2025 and 2024

The financial position and results of operations of ASDB for the fiscal year are represented in the financial statements. These financial statements focus on the financial condition and the results of operations of all funds of ASDB and its cash flows. It should be noted that ASDB is an entity of the State and is included in the State's Comprehensive Annual Financial Report.

- The fiscal year consists of all revenues and expenses during the reporting period for the months of July through June. This includes prior year budget related activity as these items may have been received or expended in the current year; however, relate to prior year goods or services.

Table 1 –Balance Sheet as of September 30, 2025 and 2024:

Comparative Balance Sheet
As of September 30, 2025 and 2024
All Funds - Combined

	9/30/2025	9/30/2024	$ Change	% Change
Assets				
Cash on deposit with Treasurer	$ **17,951,821**	$ 18,149,672	$ (197,851)	-1.1%
Cash revolving fund	**25,000**	25,000	-	0.0%
Unfavorable deposit discrepancy rec	**-**	2,387	(2,387)	-100.0%
NSF checks receivable	**-**	408	(408)	-100.0%
Total Assets	**17,976,821**	18,177,467	(200,646)	-1.1%
Liabilities				
Payments outstanding	**10,796**	78,273	(67,477)	-86.2%
Claims payable	**-**	-	-	0.0%
Favorable deposit discrepancy payable	**509**	-	509	100.0%
Stale warrants payable	**-**	-	-	0.0%
Total Liabilities	**12,304**	78,273	(65,969)	-84.3%
Fund Balance				
Unassigned	**17,964,517**	18,099,194	(134,677)	-0.7%
Total Fund Balance	$ **17,964,517**	$ 18,099,194	$ (134,677)	-0.7%

The change in fund balance decrease of $134,677 or 0.7% from $18.1 million as of September 30, 2024 to $18.0 million as of September 30, 2025 is mainly due to an increase in cash received from the classroom site fund and in federal grants offset by a decrease in the Cooperative Services fund. There was also an increase in spend for payments made for salaries and to vendors.

Table 2 - Condensed Statements of Revenues, Expenses, and Changes in Fund Balance for the Months Ended September 30, 2025 and 2024:

Statements of Revenues, Expenses, and Changes in Fund Balance
Months Ended September 30, 2025 and 2024
All Funds - Combined

	9/30/2025	9/30/2024	$ Change	% Change
Revenues				
Operating revenues:				
Sales and service of educational departments	$ **1,246,477**	$ 1,141,177	$ 105,299	9.2%
Federal grants and contracts	**824,256**	310,778	513,478	165.2%
State and private grants and contracts	**-**	-	-	0.0%
Rental	**321,011**	208,906	112,104	53.7%
Other operating revenues	**189,779**	696,504	(506,725)	-72.8%
Total Operating Revenues	**2,581,522**	2,357,365	224,157	9.5%
Expenses				
Operating expenses:				
Personal Services (PS)	**7,557,958**	7,741,751	(183,793)	-2.4%
Employee Related Expenses (ERE)	**3,513,672**	3,245,967	267,705	8.2%
Professional and outside services	**468,062**	1,090,835	(622,773)	-57.1%
Travel in-state	**1,396,611**	79,317	1,317,294	1660.8%
Travel out of state	**9,142**	16,166	(7,023)	-43.4%
Food	**48,489**	9,402	39,088	415.8%
Other operating expenses (OOE)	**767,178**	2,044,577	(1,277,399)	-62.5%
Equipment	**64,192**	443,790	(379,598)	-85.5%
Total Operating Expenses	**13,825,305**	14,671,804	(846,499)	-5.8%
Operating Loss	**(11,243,783)**	(12,314,439)	1,070,656	-8.7%
Non-operating revenues (expenses) net:				
State of Arizona appropriations	**5,289,490**	6,112,985	(823,495)	-13.5%
Gifts and donations	**(999)**	-	(999)	0.0%
Total Non-operating Revenues (Expenses) Net	**5,288,492**	6,112,985	(824,494)	-13.5%
Income before other revenues, expenses, gains, or losses	**(5,955,291)**	(6,201,453)	246,162	-4.0%
Transfers in	**3,923,058**	1,299,854	2,623,204	201.8%
Institutional voucher reimbursements	**(518,400)**	-	(518,400)	0.0%
Transfers out	**661**	668	(7)	-1.1%
Change in Fund Balance	**(2,549,972)**	(4,900,931)	2,350,959	-48.0%
Fund Balance				
Fund Balance, Beginning	**20,514,489**	23,000,125	(2,485,636)	-10.8%
Fund Balance, Ending	$ **17,964,517**	$ 18,099,194	$ (134,677)	-0.7%

Total operating revenues increased by $224,157 or 9.2% from $2.4 million as of September 30, 2024 to $2.6 million as of September 30, 2025 primarily due to an increase in the federal grants revenue.

Total non-operating revenues decreased by $824,494 or 13.5% from $6.1 million as of September 30, 2024 to $5.3 million as of September 30, 2025 primarily due to the decrease of state appropriations.

Total Operating Expenses decreased by $846,499 or 5.8% from $14.7 million as of September 30, 2024 to $13.8 million as of September 30, 2025 mostly resulting from a decrease in professional and outside services and equipment.

- Payroll overall increased, however, salaries decreased while employer related expenses (ERE) increased due to an increase in health insurance costs for the state.
- Professional and outside services decreased due to the contracted transportation and food services with the reduced student count.

Transfers in are $2.6 million more than September 30, 2024 due to an increase in the cooperative services institutional voucher and classroom site fund revenues.

Institutional voucher reimbursements are provided to school districts with students receiving services from the Itinerant Services Program and are funded from the institutional voucher. We have changed how the reimbursements are processed and are tracking them separately. Previously the reimbursements were recorded as a reduction in expenses, we are now recording them as a reduction in revenue since we are refunding voucher revenue to the districts. There are $518,400 in voucher reimbursements for prior years, $137,362 related to BFY21 through BFY24 and $381,038 related to BFY25. In response to the sunset audit, we gave the districts that did not invoice for voucher reimbursement in BFY21 to BFY24 another opportunity to submit invoices.

Table 3 – Statements of Cash Flows for the Months Ended September 30, 2025 and 2024:

Statements of Cash Flows
Months Ended September 30, 2025 and 2024

	9/30/2025	9/30/2024
Cash flows from operating activities:		
Grants and contracts	**825,255**	596,046
Payments to vendors	**(3,299,484)**	(3,994,388)
Payments to employees	**(11,093,946)**	(11,141,934)
Other receipts	**1,757,266**	2,050,604
Net cash used by operating activities	**(11,810,909)**	(12,489,672)
Cash flows from non-capital financing activities:		
State of Arizona appropriations	**5,289,490**	6,112,985
Transfers	**3,923,719**	1,015,254
Institutional voucher reimbursements	**(518,400)**	-
Gifts and donations	**(999)**	-
Net cash provided by non-capital financing activities	**8,693,811**	7,128,240
Net change in cash and cash equivalents	**(3,117,098)**	(5,361,433)
Cash and cash equivalents, beginning	**21,068,918**	23,511,104
Cash and cash equivalents, ending	$ **17,951,821**	$ 18,149,671
Reconciliation of operating loss to net cash provided by operating activities:		
Operating loss	$ **(11,243,783)**	$ (12,029,171)
Effect of operating Non-cash changes in:		
Unfavorable deposit discrepancy rec	**-**	4,017
NSF checks receivable	**-**	-
Payments outstanding	**(545,810)**	(310,302)
Claims payable	**(22,315)**	(154,216)
Favorable deposit discrepancy payable	**-**	0
Net cash used by operating activities	$ **(11,810,909)**	$ (12,489,672)

The $678,763 decrease in cash from $12.5 million as of September 30, 2024 to $11.8 million as of September 30, 2025 is attributed to the change in cash received from the vouchers, fee for service, and classroom site fund revenues offset by an increase in spend for payments made to vendors and employees.

Vision:

We are committed to respect, support, and the wellbeing of all.

Mission:

We are committed to excellence and innovation in:

- Education for all children, throughout Arizona, who are hard of hearing, deaf or have vision loss.
- Leadership and Service.
- Collaboration with families, school districts, communities, and others.
- Partnership with other agencies that will enable children who are hard of hearing, deaf or have vision loss to succeed now and in the future.

Operating Principles:

A.C.T. – Accountability, Collaboration, Transparency

Long Range Target:

Every student and staff has the opportunities to grow and succeed.